

24th August, 2016

Mr. Geoffrey Odundo
The Chief Executive Officer
Nairobi Securities Exchange Ltd.
55 Westlands Road
Kimathi Street
NAIROBI

Dear Sir

**RE: BRITAM HOLDINGS LTD. – GROUP FINANCIAL RESULTS FOR THE
PERIOD ENDED 30TH JUNE 2016**

We are pleased to enclose the following unaudited financial statements for the period ended 30th June 2016:

1. Consolidated Income Statement;
2. Consolidated Statement of Comprehensive Income;
3. Consolidated Statement of Financial Position;
4. Consolidated Statement of Changes in Equity;
5. Consolidated Statement of Cash Flows.

The Board of Directors do not recommend payment of an interim dividend.

Yours faithfully,
Britam Holdings Ltd.



NANCY KIRUKI
COMPANY SECRETARY

Encl.

FINANCIAL RESULTS FOR THE PERIOD ENDED 30 JUNE 2016

The Board of Directors of Britam Holdings Limited announces the unaudited Group results for the six months period ended 30 June 2016.

PERFORMANCE AND STRATEGY OVERVIEW

The Group's core business performed very well in the first half of 2016 achieving 175% increase in Profit Before Tax (PBT). Below are some of the key highlights:

- Investment income increased by 38% to Shs 2.4 billion in June 2016 compared with Shs 1.7 billion in June 2015.
- The Asset Management revenue increased by 21% reporting revenue of Shs 529.4 million compared to 439.4 million in June 2015.
- Total Assets increased by 7% to Shs 81.7 billion from Shs 76.6 billion as of June 30, 2015.

Pursuant to the requirements of the Insurance Act (Cap. 487) and subsequent amendments to the Finance Act of 2015 and as required by the Insurance Regulatory Authority, the Group has valued its long term insurance business liabilities using the Gross Premium Valuation (GPV) methodology, a change from the previously applied Net Premium Valuation (NPV). The GPV methodology increases the accuracy of reserving. The impact of the change in reserves is a decline in net claims expense by Shs 2.28 billion. The Group has also recognized additional Claims Handling Expenses Reserves amounting to Shs. 331 million to cater for operating expenses expected to be incurred in settling outstanding claims. The net impact of these two changes is an improvement of profitability by Shs 1.95 billion

STRATEGY AND OUTLOOK

The Group has registered commendable growth during the 2012 – 2016 strategic period and has completed drawing up its 2016 – 2020 strategic plan. The key focus areas have been: growth and diversification of revenue streams, increasing local and regional presence, innovation and information technology (IT). During this strategic period the following milestones have been recorded;

- The acquisition of 100% of Real Insurance Group and the successful integration thereof,
- The development of a property strategy and enhancement of the property team,
- The implementation of the first phase of the a IT enabled business transformation (Project Jawabu).

DIVIDEND

The Board of Directors does not recommend payment of an interim dividend.

Consolidated income statement

	6 months to 30 June 2016 Shs'000	6 months to 30 June 2015 Shs'000	12 months to 31 December 2015 Shs'000
Revenue			
Gross earned premium	10,520,271	10,198,438	19,605,675
Less: reinsurance premium ceded	(1,639,368)	(1,832,653)	(3,231,953)
Net earned premium	8,880,903	8,365,785	16,373,722
Fund management fees	490,317	439,356	718,537
Investment income	2,726,124	2,351,774	4,340,074
Net realised gains on financial assets	23,462	236,706	209,944
Net unrealised fair value gains on financial assets at fair value through profit or loss	(342,357)	(842,947)	(2,836,211)
Commissions earned	416,941	430,009	735,788
Other income	491,893	66,614	589,133
Total revenue	12,687,283	11,047,297	20,130,987
Expenses			
Insurance claims and loss adjustment expenses	4,259,527	5,101,743	10,250,558
Less: amount recoverable from reinsurers	(564,523)	(1,323,130)	(2,405,947)
Change in actuarial value of policyholder benefits	(86,536)	1,331,104	2,769,604
Net insurance benefits and claims	3,608,468	5,109,717	10,614,215
Interest payments/increase in unit value	639,912	265,183	495,774
Operating and other expenses	3,141,072	2,461,579	6,716,741
Finance costs	902,629	390,000	802,155
Commissions payable	1,825,156	1,979,014	3,291,904
Total expenses	10,117,237	10,205,493	21,920,789
Profit before share of the profit of the associate	2,570,046	841,804	(1,789,802)
Share of profit of the associates accounted for using the equity method	303,252	201,956	594,864
Profit/ (Loss) before tax	2,873,298	1,043,760	(1,194,938)
Income tax expense	(1,094,403)	(419,197)	185,480
Profit/ (Loss) for the period	1,778,895	624,563	(1,009,458)
Profit attributable to:			
-Owners of the parent	1,766,860	611,461	(962,189)
-Non-controlling interests	12,035	13,102	(47,269)
Earnings per share for profit attributable to the owners of the parent during the period			
- Basic and diluted (Shs per share)	0.92	0.32	(0.5)

Consolidated statement of comprehensive income

	6 months to 30 June 2016 Shs'000	6 months to 30 June 2015 Shs'000	12 months to 31 December 2015 Shs'000
Profit/ (loss) for the period	1,778,895	624,563	(1,009,458)
Other comprehensive income items, net of tax:			
Items that will not be reclassified to profit or loss			
Loss on revaluation of land and buildings	-	-	(13,520)
Loss on revaluation of financial assets at fair value through other comprehensive income	(208,048)	(517,181)	(1,471,299)
Loss on disposal of financial assets at fair value through other comprehensive income	(9,588)	-	(281,044)
Re-measurement of the net defined benefit asset	-	-	20,024
Total items that will not be reclassified to profit or loss	(217,636)	(517,181)	(1,745,839)
Items that may be subsequently reclassified to profit or loss			
Share of other comprehensive income/ (loss) from the associate accounted for using the equity method	-	-	(4,879)
Currency translation differences	313,934	2,314	(423,523)
Total items that may be subsequently reclassified to profit or loss	313,934	2,314	(428,402)
Total other comprehensive income	96,298	(514,867)	(2,174,241)
Total comprehensive income/ (loss) for the period	1,875,193	109,696	(3,183,699)
Attributable to:			
-Owners of the parent	1,863,158	96,594	(3,137,751)
-Non-controlling interests	12,035	13,102	(45,948)

Consolidated statement of financial position

	30 June 2016 Shs'000	30 June 2015 Shs'000	31 December 2015 Shs'000
CAPITAL EMPLOYED			
Share capital	193,841	193,841	193,841
Share premium	4,263,412	4,263,412	4,263,412
Other reserves	10,487,067	12,368,399	10,429,432
Retained earnings	3,983,885	4,089,473	2,217,025
Proposed dividend	-	-	581,525
Shareholders' funds	18,928,205	20,915,125	17,685,235
Non-controlling interests	35,831	52,718	(10,787)
Total equity	18,964,036	20,967,843	17,674,448
REPRESENTED BY:			
Assets			
Property and equipment	2,037,716	1,599,375	1,749,457
Intangible assets	1,794,229	1,197,159	1,751,804
Investment in associates	7,015,892	6,988,150	6,821,327
Goodwill	1,558,433	1,548,262	1,558,433
Investment property	3,564,702	6,491,154	8,173,999
Investment in property funds	7,220,121	1,253,883	1,367,006
Quoted ordinary shares at fair value through other comprehensive income	5,550,521	10,334,233	7,012,499
Financial assets at fair value through profit or loss:			
- quoted ordinary shares	8,705,259	10,202,104	9,143,190
- unquoted ordinary shares	9,559	5,379	9,794
- unit trusts	5,082,712	5,970,488	5,529,452
- government securities	3,491,179	2,360,476	2,629,930
Corporate bonds at amortised cost	1,643,047	1,412,789	1,868,900
Government securities at amortised cost	15,162,890	10,901,147	14,042,036
Mortgage loans and receivables	1,048,481	906,116	994,281
Loans and receivables to policy holders	695,183	533,869	614,663
Receivables arising out of reinsurance arrangements	666,295	795,410	804,445
Receivables from direct insurance arrangements	2,358,204	3,611,947	2,291,319
Reinsurers' share of insurance liabilities	3,259,617	3,380,505	3,444,336
Deferred acquisition costs	594,551	565,145	540,225
Deferred income tax	360,068	153,805	370,302
Current income tax	163,530	94,172	273,488
Other receivables	2,100,150	1,262,641	1,652,812
Retirement benefit asset	174,593	92,473	174,593
Investment in liquid funds	-	54,078	-
Deposits with financial institutions	5,270,296	4,483,135	3,218,619
Cash and bank balances	2,187,009	416,959	1,595,442
Total assets	81,714,237	76,614,854	77,632,352
Liabilities			
Insurance contract liabilities	21,830,980	18,983,279	21,786,744
Payable under deposit administration contracts	17,079,911	12,747,606	14,964,027
Liabilities under investment contracts	5,121,312	6,038,231	5,486,194
Unearned premium	5,239,870	6,027,095	5,261,170
Creditors arising from reinsurance arrangements	508,873	1,159,627	800,263
Creditors arising from direct insurance arrangements	10,065	-	6,007
Borrowings			
- Britam 2014 medium term note	6,000,000	6,000,000	6,000,000
- Bank loan	980,000	-	600,000
- Interest payable	370,066	340,472	368,161
Deferred income tax	2,773,069	2,818,410	2,094,584
Other payables	2,618,093	1,344,192	2,553,317
Bank overdraft	50,000	72,638	-
Current income tax	167,962	115,461	37,437
Total liabilities	62,750,201	55,647,011	59,957,904
Net assets	18,964,036	20,967,843	17,674,448

Consolidated statement of changes in equity

Period ended 30 June 2016	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
Start of the period	193,841	4,263,412	10,429,432	2,217,025	581,525	17,685,235	(10,787)	17,674,448
Change in Britam S. Sudan opening balance due to adoption of IAS 29	-	-	(4,080)	-	-	(4,080)	-	-
Start of the period as restated	193,841	4,263,412	10,425,352	2,217,025	581,525	17,681,155	(10,787)	17,670,368
Comprehensive income								
Profit for the period	-	-	-	1,766,860	-	1,766,860	12,035	1,778,895
Other comprehensive income, net of tax	-	-	96,298	-	-	96,298	-	96,298
Total comprehensive income for the period	-	-	96,298	1,766,860	-	1,863,158	12,035	1,875,193
Purchase of 35% of Britam Malawi	-	-	(34,583)	-	-	(34,583)	34,583	-
- Final for 2015 paid	-	-	-	-	(581,525)	(581,525)	-	(581,525)
Total transactions with owners	-	-	(34,583)	-	(581,525)	(616,108)	34,583	(581,525)
At end of period	193,841	4,263,412	10,487,067	3,983,885	-	18,928,205	35,831	18,964,036
Period ended 30 June 2015								
Start of the period	193,841	4,263,412	12,883,266	3,478,012	581,525	21,400,056	39,616	21,439,672
Comprehensive income								
Profit for the period	-	-	-	611,461	-	611,461	13,102	624,563
Other comprehensive income, net of tax	-	-	(514,867)	-	-	(514,867)	-	(514,867)
Total comprehensive income for the period	-	-	(514,867)	611,461	-	96,594	13,102	109,696
- Final for 2014 paid	-	-	-	-	(581,525)	(581,525)	-	(581,525)
Total transactions with owners	-	-	-	-	(581,525)	(581,525)	-	(581,525)
At end of period	193,841	4,263,412	12,368,399	4,089,473	-	20,915,125	52,718	20,967,843

Consolidated statement of changes in equity (Cont...)

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Year ended 31 December 2015	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
Start of the year	193,841	4,263,412	12,883,266	3,478,012	581,525	21,400,056	39,616	21,439,672
Comprehensive income								
Profit for the year	-	-	-	(962,189)	-	(962,189)	(47,269)	(1,009,458)
Other comprehensive income, net of tax	-	-	(2,175,562)	-	-	(2,175,562)	1,321	(2,174,241)
Total comprehensive income for the year	-	-	(2,175,562)	(962,189)	-	(3,137,751)	(45,948)	(3,183,699)
Transfer to other reserves	-	-	(282,727)	282,727	-	-	-	-
Transactions with owners								
Purchase of 1% of Britam General Insurance (Kenya) Limited	-	-	4,455	-	-	4,455	(4,455)	-
- Final for 2014 paid	-	-	-	-	(581,525)	-	-	(581,525)
- Proposed final for 2015	-	-	-	(581,525)	581,525	-	-	-
At end of year	193,841	4,263,412	10,429,432	2,217,025	581,525	17,685,235	(10,787)	17,674,448

Consolidated statement of cashflows

	30 June 2016 Shs'000	30 June 2015 Shs'000	31 December 2015 Shs'000
Operating activities			
Cash generated from operations	2,586,692	972,752	3,758,895
Income tax paid	(70,473)	(123,494)	(346,718)
Net cash generated from operating activities	2,516,219	849,258	3,412,177
Investing activities			
Purchase of property and equipment	(288,259)	(270,509)	(434,624)
Purchase of intangible assets	(42,425)	(301,818)	(903,558)
Investment in associates	-	(1,902,309)	(1,946,667)
Purchase of Britam Malawi 35% non-controlling interest	(34,582)	(14,771)	(14,625)
Purchase of investment property	-	(886,598)	(1,576,098)
Purchase in property funds	(1,384,867)	(431,904)	(393,119)
Proceeds from disposal quoted shares at fair value through other comprehensive income	1,234,994	-	857,905
Purchase of quoted shares at fair value through profit or loss	(309,278)	(143,752)	(538,916)
Proceeds from disposal of quoted ordinary shares at fair value through profit or loss	334,999	967,094	923,815
Net investment in unquoted ordinary shares at fair value through profit or loss	(235)	464	(3,952)
Net investment in unit trusts at fair value through profit or loss	446,338	1,146,678	1,139,295
Net investment in government securities at fair value through profit or loss	(815,790)	134,738	(286,839)
Net investment in government securities at amortised cost	(270,923)	(2,013,160)	(5,154,049)
Net investment in corporate bond at amortised cost	-	(15,076)	(471,187)
Mortgage loans advanced	(54,200)	(8,503)	(196,727)
Mortgage loans repayments	-	11,290	152,011
Policy loans advanced	(80,520)	(45,785)	(509,863)
Policy loans repayments	95,620	150,440	419,419
Dividends received from equity investments at fair value through profit or loss	411,830	232,657	245,462
Dividends received from associate	111,463	-	277,403
Dividends received from equity investments at fair value through other comprehensive income	209,230	275,139	413,015
Rent and interest received	1,217,182	1,550,937	3,524,120
Net cash used in investing activities	780,577	(1,564,748)	(4,477,779)
Cash flows from financing activities			
Dividends paid	(581,525)	(581,525)	(581,525)
Bank loan	380,000	(200,000)	400,000
Interest paid	(452,027)	(390,000)	(780,000)
Net cash used in financing activities	(653,552)	(1,171,525)	(961,525)
Net increase/ (decrease) in cash and cash equivalents	2,643,244	(1,887,015)	(2,027,126)
At start of year	4,814,061	6,841,187	6,841,187
At end of period	7,457,305	4,954,172	4,814,061